

WORKSHOP 5

Understanding Debit Cards

A **debit card** looks like a credit card but works like an electronic check by deducting your payment directly from your checking or savings account. If you use a debit card at a retail store, your card runs through a scanner that enables your financial institution to 1) verify electronically that the funds are available and 2) approve the transaction. In addition to making instant payments in stores or online, most debit cards can be used to withdraw cash at ATMs or at most supermarkets when you make a purchase.

Benefits of Debit Cards:

For many people, it is more convenient to carry a small, plastic card instead of a bulky checkbook or a large amount of cash. Using a debit card is easier and faster than writing a check. It's a good way to pay for purchases without having to pay interest, as you would if using a credit card with an outstanding balance. Debit cards take the money directly out of your bank account, so there is no worry of racking up credit when using them.

FAQs about Debit Cards

What kinds of costs are associated with debit cards?

There may be fees for using your debit card. As with other bank products, your financial institution must provide disclosures explaining the possible fees associated with a debit card. Be sure to read the disclosures to avoid an unexpected fee.

- Some banks charge a fee if you enter a PIN (Personal Identification Number) to conduct a transaction instead of signing your name.
- You may trigger a fee if you overdraw your account using your debit card, just as you would if you "bounced" a check.
- There could be a charge if you use your debit card at an ATM that is not operated by your financial institution.

Some debit cards come with rewards or other incentives for using them. How can I know which one is a good deal?

As with similar financial products, rewards-linked debit cards are designed to encourage people to use a certain bank and its services. Similar to many credit cards, some debit cards offer rewards, such as cash back, giving you the opportunity to earn points for your purchases. Before opening a new account or changing banks to get a different perk, study the fine print. Begin by reading the disclosures that explain the account terms and fees to understand the potential benefits as well as the costs, such as fees for overdrawing your account (discussed below).

How is it possible to overdraw my account if my bank or bank network must approve a debit card transaction?

Because debit card payments are electronic, they are deducted from your account more quickly than when using a paper check. Oftentimes, a debit card purchase is posted within 24 hours instead of a few days, as may be the case with a paper check. This means there is less time to make a deposit to cover a purchase, if necessary.

In addition, even if a transaction was approved, you may overdraw your account because the bank won't know what other withdrawals you have made that day until it settles all transactions later that day. Or, suppose you don't realize you have only \$100 in your bank account and you want to use your debit card to buy a \$200 item. Depending on the terms of your account, the bank might approve the \$200 purchase as a convenience, but it also might assess an overdraft fee for that transaction and subsequent ones until you make a sufficient deposit.

Note: If your debit card is linked to your savings account, you can transfer money to your checking account when funds get low to avoid these fees. Mobile banking apps also make it easy to check your account balance for sufficient funds before making a purchase.

If I use a debit card to make a purchase can the merchant put a temporary "block" or "hold" on other funds in my account?

Yes, in certain circumstances merchants can take these steps as protection against fraud, errors, or other losses. For example, a hotel might put a hold on a certain amount when you use a debit or credit card to reserve a room. Another example is when you use your debit card at the gas

pump. Typically, the gas station will create two transactions: the first to get approval from your bank for an estimated purchase amount (like \$50) when you swipe your card before pumping gas, and the second for the actual charges when you're done. Until the first (\$50) transaction is cancelled by the bank, usually within 48 hours, you won't have access to that amount in your account.

Because a debit card transaction is processed so fast, is it possible to order a "stop payment" or obtain a refund if I later discover a problem with the merchandise?

It depends. Because funds are deducted from your account very quickly, don't expect to have the option to stop payment or obtain a refund. If the transaction cannot be cancelled, you may be able to work out other arrangements with the store. For example, if you return an item to a merchant and you're not able to get a refund, you instead may qualify for store credit or a gift card.

Consumer protections are stronger for credit cards than debit cards, so if you are concerned that merchandise may be damaged or not what you expected, you may consider using a credit card for those types of purchases. The Fair Credit Billing Act (which only applies to credit cards) gives you the ability, under certain circumstances, to withhold payment on defective goods until the problem has been corrected.

Sometimes I'm asked to enter a PIN to approve a debit card transaction, other times I can sign my name. Does it matter?

It could matter. If you use a PIN at a merchant's sales counter, you also may be able to get cash back, and that can save you a trip to the ATM. However, be aware that some financial institutions charge consumers a fee for a PIN-based transaction. There also may be differences in how quickly the transaction is posted to your account, depending on how your bank processes PIN vs. signature debits.

If you would rather sign for a debit card transaction, you can generally swipe your card through the reader and choose "credit" (even though you are authorizing a debit withdrawal from your account, not a credit card transaction). To use your PIN instead of signing, select "debit."